Anchorage Police & Fire Retirement System

April 15, 2025

REQUEST FOR PROPOSAL

The Board of Trustees of the Anchorage Police and Fire Retirement System is seeking proposals to provide investment advisory consultant services from a qualified institutional investment consulting firm.

The Anchorage Police and Fire Retirement System is a public pension plan consisting of three defined benefit plans (Plans I, II, III) which includes a surplus benefit plan sponsored by the Municipality of Anchorage for police officers and firefighters and administered by a Board of Trustees under Chapter 3.85 of the Anchorage Municipal Code (AMC). The Board of Trustees has overall responsibility for the administration of the Retirement System.

This Request for Proposal (RFP) is issued by the Anchorage Police and Fire Retirement System. Consultants are requested not to contact individual trustees regarding this RFP during the RFP process. A physical copy of the proposal and all correspondence regarding this RFP must be delivered to:

Edward Jarvis, CRSP, Director
Anchorage Police and Fire Retirement System
3600 Dr. Martin Luther King Jr. Ave
Suite 207
Anchorage, AK 99507
(907) 343-8400

Proposals must be received by the Anchorage Police and Fire Retirement System on or before 4:30 p.m. AKT, Friday, May 30, 2025.

Prospective submitters are responsible for the timely receipt of their proposal. Late proposals will not be considered or accepted.

REQUEST FOR PROPOSAL

ANCHORAGE POLICE AND FIRE RETIREMENT SYSTEM

RE: THE SELECTION OF AN INVESTMENT CONSULTANT

SECTION I

GENERAL INFORMATION

A. OVERVIEW

The Board of Trustees of the Anchorage Police and Fire Retirement System intends to secure a contract for investment consultant services. The purpose of this Request for Proposal (RFP) is to define the Board's minimum requirements, solicit proposals and to gain adequate information from which the Board may evaluate such services.

The Anchorage Police and Fire Retirement System is a public pension plan consisting of three defined benefit plans (Plans I, II, III) which includes a surplus benefit plan sponsored by the Municipality of Anchorage for police officers and firefighters and administered by a Board of Trustees under Chapter 3.85 of the Anchorage Municipal Code (AMC). The Board of Trustees has overall responsibility for administration of the Retirement System. The Director along with staff manages the day-to-day activities and administration of the Retirement System. As of December 31, 2024, the pension plans had a total market value as follows:

Defined Benefit Plans I, II, III	$ 333.7 million
Surplus Benefit Plan	$ 12.6 million

B. ISSUING OFFICE

This RFP is issued by the Anchorage Police and Fire Retirement System, Anchorage, Alaska. Consultants are requested not to contact individual trustees regarding this RFP during the RFP process. All correspondence regarding this RFP must be delivered to:

Edward Jarvis, CRSP, Director
Anchorage Police and Fire Retirement System
3600 Dr. Martin Luther King Jr. Ave
Suite 207
Anchorage, AK 99507
(907) 343-8400

C. PROPOSALS

Five (5) copies of the proposal shall be submitted. The proposal must be signed in ink by an official authorized to bind the submitter to its provisions. In addition to the (5) copies

required, proposers are required to provide a flash drive containing a PDF of the complete proposal, including attachments.

D. RECEIPT OF PROPOSALS

Proposals must be received by the Anchorage Police and Fire Retirement System on or before 4:30 p.m. AKT, Friday, May 30, 2025, at the following address:

Edward Jarvis, CRSP, Director
Anchorage Police and Fire Retirement System
3600 Dr. Martin Luther King Jr. Ave
Suite 207
Anchorage, AK 99507
(907) 343-8400

Prospective submitters are responsible for the timely receipt of their proposal. Late proposals will not be considered or accepted.

E. SELECTION CRITERIA

The evaluation will be completed by Board Members and the Director.

The initial evaluation is to determine which, if any, firms are to be interviewed. Should the Board elect to have interviews, they will be held in person and tentatively scheduled for the Board Meeting on September 3, 2025, in Anchorage, Alaska.

F. UNDERSTANDING THE RFP

Should any prospective consultant be in doubt as to the true meaning of any portion of this RFP, or should a consultant find any ambiguity, inconsistency, or omission therein, the consultant shall make a written request to Edward.Jarvis@AnchorageAK.gov for an official interpretation or correction. Such a request must be submitted to the issuing office not less than seven (7) calendar days prior to the final date of submittal of the proposals. The person making the request shall be held responsible for its prompt delivery.

G. COST / LIABILITY

The Anchorage Police and Fire Retirement System assumes no responsibility or liability for costs incurred by the investment consultant prior to execution of a contract.

H. SUBMISSION REQUIREMENTS

To achieve a uniform review process and obtain the maximum degree of comparability, it is required that the proposal be organized in the following manner:

1. Title Page: Please indicate the RFP subject, the name of your organization, address, telephone number, name of contact person and date

2. Table of Contents: Clearly identify the material by section and page number

3. Letter of Transmittal: Limit of two pages

4. Response to Request for Proposal: Please respond to each question in order of sequence in the Request for Proposal (Section 3)

SECTION 2
SCOPE OF SERVICES

A. Background Information

The Anchorage Police and Fire Retirement System (APFRS) was created by the Anchorage Municipal Assembly by ordinance in 1977 (AO No.77-205; AO No. 84-69; AO No. 2000-65, § 3, 4-18-00). Police and fire employees hired July 1, 1968, or later retroactively became members in the retirement plan.

The system is comprised of three retirement plans including a surplus benefit plan, all of which were created for the purpose of encouraging qualified personnel to enter and remain in the service of the Municipality of Anchorage as police officers and firefighters through the establishment of a system of retirement, disability and death benefits for members, and their beneficiaries. The retirement plans are closed with Plan I closing to new members effective June 30, 1977, Plan II closing to new members effective April 17, 1984, and Plan III closing to new members effective May 24, 1994, for new command police and fire, July 17, 1994, for union firefighters and all new union police officers October 5, 1994.

A nine-member Board of Trustees governs APFRS. The Board has sole and exclusive fiduciary responsibility over the assets of the retirement system. The Board has sole and exclusive responsibility to administer APFRS in a manner that will assure prompt delivery of benefits and related services to the members and their beneficiaries.

The APFRS Director has the responsibility for the overall management and administration of the system in accordance with the direction, policy and goals set by the Board and Anchorage Municipal Code. Reporting to the Director is a staff with the primary responsibility to assist the Director to carry out these policies and goals.

An annual actuarial valuation commissioned by the Board determines contributions into the APFRS Plans. The Retirement System is also subject to an annual independent audit commissioned by the Board. The results of the actuarial valuation and audit are provided to the Board, Municipal Executives, and Municipal Assembly.

B. Work Statement

The primary role of the Investment Consultant is to provide objective, third-party advice and counsel that will enable the Board to make well-informed and well-educated decisions regarding the investment of the Retirement System assets. The Investment Consultant shall acknowledge its responsibilities as a fiduciary. The Investment Consultant must be a registered investment advisor under the Investment Advisors Act of 1940.

All proposers must carefully read and review the sample contract attached in Exhibit 2. The successful proposer shall be required to enter into a contract with the Board of Trustees of Anchorage Police and Fire Retirement System, which will be substantially similar to the sample contract.

Contractual services for investment consulting will include, but not be limited, to the following:

C. Scope of Services

1. Investment Policy, Objectives and Guidelines

Assist the Board in the development and periodic review of a policy statement that properly reflects the Board's tolerance for risk and that best helps the Board meet its rate-of-return, funded status and administrative expense objectives.

- Review of Investment Policy Statement at least annually
- Ongoing monitoring and interim alerts regarding significant investment manager firm changes or market events
- Watch list designation and monitoring of underperforming investment managers

2. Asset Allocation Studies

Conduct an asset allocation study to determine whether the current asset allocation falls within the Board's investment objectives and guidelines.

- Conduct an asset allocation analysis at least annually with consideration of actuarial assumptions, market conditions and efficient frontier analysis

3. Investment Manager Search

When deemed necessary, assist the Board in its due diligence and search for new investment managers utilizing appropriate databases and other resources.

- For comparison purposes, proposal should include up to two manager searches per year and up to five manager searches over a trailing three-year period

4. Investment Measurement Performance Reports & General Consulting Services

Assist the Board in the review of performance standards and guidelines with which the Board can measure each investment manager's progress toward the investment objectives.

- Capital markets report, economic conditions and investment market review & outlooks provided at least quarterly
- Long term Capital Market Projections, provided annually
- Monthly performance reports: Provide an abbreviated monthly report showing monthly, quarterly, 6 months, year-to-date and 12-month performance by manager, asset class and total fund, referencing appropriate benchmarks. This report is to be available 20 days following the end of each month
- Quarterly performance reports: Distribute 12 original copies of the quarterly performance measurement reports within 45 days following the quarter end date. Rank the performance of each investment manager and for the total Fund Asset Allocation reporting for each quarterly, year to date, trailing 6 and 12 months, calendar year and 1, 3, 5, 10-year and since inception periods
- Assist actuary if necessary
- Meet with the Board in Anchorage, Alaska no less than 4 times a year, each calendar quarter and make oral presentations regarding the investment managers performance
- Attend and present at an annual investment review meeting in Anchorage, Alaska (tentatively set for March 25 & 26, 2026)
- Provide Performance attribution analysis
- Report on aggregate risk across the entire portfolio

SECTION 3

INFORMATION REQUIRED FROM ALL PROPOSAL SUBMITTERS

A. Minimum Consultant Requirements:

1. The firm must have at least $2 Billion under management
2. The firm must work with public pension funds
3. The lead consultant assigned to this account must have a minimum of 10 years of investment experience
4. Must agree to be a fiduciary to APFRS under Alaska and other applicable law
5. Must be registered as an Investment Advisor under the Investment Advisers Act of 1940

B. Professional Qualifications:

1. Name of your firm, its address, telephone number, and primary contact for the proposal

2. Provide a summary of your firm's history, ownership structure, breakdown of consulting operation staff and current market position. Please include how your firm is organized and locations of local, regional and national offices

3. What is the number of full-time employees in your firm? What is the location of your nearest office to Anchorage, Alaska? Provide a breakdown by classification (consultant, managerial, clerical, etc.) for both your national and local operation. If more than one office, how are consultants apprised of developments in the investment arena?

4. Please submit biographical profiles on the individual(s) who will be assigned to our account. Also, where are these individuals located? Who will attend review meetings? How many senior people have left your company in the last three (3) years? How many support staff have left your company in the last three (3) years? Be specific as to experience, performance measurement, manager search, and investment policy consulting. What public funds experience do you have? Provide a list of all public pension fund clients under contract to date. How many clients have you gained & lost within the last three (3) years?

5. APFRS reserves the right to approve or disapprove any change in the successful firm's team members who are specifically offered in the proposal. This ensures that individuals with vital experience and skill are not arbitrarily removed from the contract by the Consultant. Personnel changes which impact the contract may result in the cancellation of the contract

6. Please provide all complaints received by the Securities and Exchange Commission and the National Association of Securities Dealers. Has your firm been involved in litigation within the last five years? Is there any pending litigation arising out of your performance? If your answer is yes, explain fully

7. Please provide a list of three references from both your current clients and clients that you lost in the last three (3) years and explain why your firm was hired or terminated

8. Please explain size, composition, and source of your performance measurement database. What indices are used for relative comparisons? Were your software systems developed entirely in-house or purchased from outside sources? If you do not maintain databases, whose database do you use?

9. Why is your firm uniquely qualified to service our account?

10. Disclose formal or informal business relationships with investment managers or other service providers to pension trust funds.

11. Can you attend quarterly Board meetings with the Retirement Board? Who would attend from your firm?

12. What other alternative asset classes are included in your work?

13. Does your firm receive revenue from other sources besides investment consulting? If so, please explain

C. <u>Investment Policy/Asset Allocation Guidelines:</u>

1. Provide an outline of the principal steps you would follow when developing a Statement of Investment Policy and Objectives. Does your investment policy and asset allocation analysis fully integrate liabilities with assets? How would you interface with the retirement system's actuary?

2. What is your approach in the development of asset allocation guidelines? Please describe this process in detail, including application of major variables.

3. Include in your response the various resources your firm would employ to accomplish each of the above areas 1 and 2.

4. Does your approach include passive strategies such as indexing? If so, please describe.

5. Have you ever advised your client to reduce their risk exposure depending on market conditions? If so, please describe.

D. Investment Manager Selection:

1. What is the procedure and criteria you will follow in the selection of additional or replacement investment managers? And how long might the process take from start to finish?

2. Describe your initial and on-going due diligence practices with respect to investment managers which your firm has screened and recommended for use by clients. Describe due diligence processes followed and key areas of focus by your firm, both on a portfolio management and operation risk basis. Describe the level and frequency of access your firm has to investment managers.

3. What databases or other resources do you utilize to help in your investment manager screenings? Which are purchased and which are proprietary?

4. How do you monitor your level of success in selecting managers? Explain how you measure the level of success of existing managers. Please be specific.

5. Describe your firm's experience and approach taken to develop, maintain and execute a process to identify and manage circumstances in which an investment manager is underperforming relative to its benchmark, or not in compliance with the Statement of Investment Policy and Objectives., experiencing management changes, operational changes, or notable style drift. In responding, please address criteria used to identify investment managers held on a "watch list" and time and trigger points for action. What criteria is used to recommend termination of a manager?

E. Performance Evaluation:

1. Specifically describe your performance evaluation system and the philosophy behind it. Is your system proprietary or did you obtain it from another supplier? Please provide sample reports.

2. Please describe, in detail other services you provide such as custodian searches, due diligence visits, and asset liability studies. Please specify charges for these services.

3. Provide two or more examples of specific analysis/advice/recommendations given by your firm to a client which made a sustainable and major contribution to meeting your client's long-term investment objectives.

4. Our deadline for performance measurement reports is 45 days after the quarter. How soon following the end of a reporting period can you have copies of evaluation reports to us?

5. Please provide an example of your attribution performance analysis for individual managers.

6. Provide samples of your standard reports. Can you provide customized client reports?

F. Fees:

Your proposal for fees for the Investment Consulting Services must be made on an all-inclusive basis, including travel, lodging, meals, and all other expenses. Please explain the basis for this fee, for example, "per account measured" or the like. Please utilize the fee template in Exhibit 1 to use as a basis for your proposal.

1. Please indicate your fee schedule for investment performance analysis services, asset allocation, investment policy, manager search, custodial search, custodial services, etc.

2. Charges for additional travel expenses?

3. What other costs or expenses would you charge over and above the base fee?

4. Do you offer payment on a pro rata quarterly basis billed in arrears?

5. Does your firm receive any compensation other than compensation for Investment Consulting?

6. Even though the Pension System is not covered by ERISA, will your firm provide fee disclosures which comply with ERISA standards?

Exhibit 1

Fee Schedule

Proposer Fee Schedule Template

Service level requirements:

- **Scope of Services described in Section 2 of RFP**
- **Minimum of four in-person visits required quarterly, additional meetings available via teleconference.**
- **Up to two manager searches in first year of contract and up to five manager searches over a trailing three-year period.**

Annual Fee, all inclusive of cost, flat dollar, no percentage:

REQUIRED: _____

*****Supplemental Information*** (note: information requested below will not be factored into the Fee Schedule scoring criteria)**

Declaration, if applicable, of current percentage or escalator envisioned for Year 2 and beyond of contract, if awarded: _____

Explicit charge for mutual fund manager search: _____

Additional manager searches above those quoted:_____

Explicit charge for separate account / private investment / non-mutual fund investment manager search, if any: _____

Hourly billing rate for extra-ordinary work assignment outside normal scope of services: _____

All-inclusive travel cost billable to Anchorage per trip should more than 4 trips are required: _____

Any additional services offered by Proposer outside of Scope of Services and not being explicitly proposed in the annual fee, to make the Retirement System aware of such services (extra page may be attached if space of Template Form is inadequate):

_____

_____

Exhibit 2

Sample Contract

AGREEMENT FOR INVESTMENT CONSULTING AND ADVISORY SERVICES

THIS AGREEMENT entered into this _____ day of _____ between _____ (hereinafter called "Consultant"), and **THE BOARD OF TRUSTEES OF THE ANCHORAGE POLICE AND FIRE RETIREMENT SYSTEM (**hereinafter called "System" or "Board").

WITNESSETH:

WHEREAS, the Consultant is in the business of providing investment consulting and advisory services; and

WHEREAS, the Board is vested with the authority and responsibility for the investment and administration of the assets of the System**,** and;

WHEREAS, the System is a public employee defined benefit retirement plan that was established pursuant to Chapter 3.85, Anchorage Municipal Code to pay certain retirement benefits to eligible members from funds contributed to the System for such purpose, and

WHEREAS, the System desires Consultant to provide investment performance monitoring and advisory services, as more fully described herein, with respect to the System;

NOW, THEREFORE, in consideration of the premises and mutual promises herein contained, the parties agree as follows:

A. SERVICES OF CONSULTANT

Consultant shall provide the following services to System as shown below:

1. Investment Policy/Guidelines Development.

2. Investment Policy/Guidelines Review.

3. Asset Allocation Consulting.

4. Measurement by Objective Performance Analysis with quarterly written reports and oral presentations at a Board meeting on a quarterly basis, including:

   (a) A review and analysis of rates of return, including stocks, bonds and all other types of investments in a summary review of the investment performance of the Plan's portfolio. Such reports are to be delivered on a quarterly basis.

   (b) A monthly and quarterly report detailing the beginning and ending balance of each investment advisor's portfolio. The quarterly report shall also contain an analysis of the Plan as a whole, and separate analyses of common stocks, long-term fixed income, convertible securities, alternative investments, real assets, and short-term investments.

   (c) A continuing overview of the current investment environment, with comments on the present investment strategy and recent performance.

5. Monitor and report on investment managers' compliance with the System documents and investment policy on a quarterly basis.

6. Perform manager searches if necessary, as may be requested by the System.

7. All investment consulting services as outlined in the request for proposal dated April 15, 2025, and any other services reasonably agreed upon by the Consultant, which shall be directed in writing by the Board and the Board's Director.

B. RESPONSIBILITIES OF SYSTEM

The System agrees to provide or cause its accountants, trustees, investment managers and legal advisors to provide information regarding income, investment performance, and other pertinent matters relating to the System as requested by the Consultant from time to time. The System, through its Director, also agrees to communicate the System's cash flow needs and investment goals to the Consultant and to keep the Consultant informed of changes in System's financial or actuarial situation, needs and goals. The Consultant shall not be required to verify any information obtained from the System or its accountants, actuaries, trustees, and legal advisors and is expressly authorized to rely thereon. The Consultant shall verify all information obtained from investment managers.

C. CONFIDENTIALITY

Except as otherwise provided by law, the Consultant shall retain as strictly confidential any and all information about System, the Board, the assets of the System, and investments or financial transactions regarding the System received in connection with performing any services contemplated by this Agreement, including, but not limited to, investment manager reports, financial statements, internal memoranda, reports finances or other business information disclosed by the System, the System's custodian, or any investment manager, either directly or indirectly, in writing or orally (collectively "Confidential Information"). The Consultant will not, during or subsequent to the term of this Agreement, use the System's Confidential Information for any purpose whatsoever other than the performance of the

services on behalf of the System or disclose the System's Confidential Information to any third party, unless the System consents in writing to such use or divulgence or disclosure is required by law. It is understood and agreed that said Confidential information shall remain the sole property of the System. In the event Consultant receives a request or demand from a third party for the disclosure of Confidential Information, the Consultant shall promptly provide written notice to System of such request or demand, including a copy of any written document of such request or demand, within five (5) business days after receipt of such request or demand. The Consultant further agrees to take all reasonable precautions to prevent any unauthorized disclosure of such Confidential Information.

D. BASIS OF ADVICE

System acknowledges that the Consultant monitors and obtains information from a wide variety of publicly available sources and certain private sources. The advice provided by Consultant to the System is based on its analysis of such public and proprietary information.

E. REPRESENTATIONS OF CONSULTANT

Consultant hereby represents that:

1. Consultant is not the System's investment manager nor is Consultant in any way compensated by nor does Consultant have any affiliation with any System investment manager;
2. Consultant will make all calculations according to the Global Investment Performance Standards (GIPS) method of calculating time weighted rates of return;
3. Consultant certifies that it is professionally qualified independent consultant eligible to evaluate the performance of investment

managers investing the assets of System;

4. Consultant is an investment advisor registered with the Securities and Exchange Commission under the Investment Advisors Act of 1940. Consultant agrees to promptly notify client of any changes in Consultant's registration status.

5. Professional liability insurance shall be maintained by Consultant during the life of this Agreement, with a minimum coverage of $5,000,000. Consultant shall provide System with proof of insurance prior to execution of this Agreement and annually thereafter during the first week of January each year.

6. Consultant maintains a robust program of cyber-security to safeguard the account information of the System.

F. FEES TO CONSULTANT

In consideration of the services rendered by Consultant, the System shall pay fees in accordance with Appendix A to this Agreement. Consultant shall not accept or receive, directly or indirectly, any commissions, fees, or any other form of remuneration or benefit of any kind, including, but not limited to, brokerage fees, "soft dollars", "in-kind" services, or shared information, from any investment manager, custodian, broker, dealer, or any other person or entity in connection with or relating to the System's assets, any investment made by the System, or any services performed under this Agreement.

G. MISCELLANEOUS

1. This Agreement shall be applicable only to the services individually prepared for System. It shall not relate to any advice given by any person or persons not specifically designated by Consultant in writing to perform such services.

By execution of this agreement, the Consultant acknowledges that it is a fiduciary of the System within the meaning of the Alaska Uniform Prudent Investor Act, A.S. 13.36.225, et. seq. Consultant recognizes that its primary obligation under this Agreement is to the System and that it will place the interest of the System above all others and will not enter into any agreement or take any action contrary to that obligation.

2. Neither party hereto may assign, convey, or otherwise transfer any of its rights, obligations, or interest herein without the prior express written consent of the other party.

3. This Agreement represents the complete agreement of the parties with regard to the subject matter and supersedes any prior understanding or agreement, oral or written.

4. This Agreement may be amended or revised only by an instrument in writing signed by both parties.

5. System acknowledges receipt of Consultant's ADV, Part II, an updated version of which shall be provided to System annually.

6. The validity of this Agreement and any of its terms, provisions, rights and duties of the parties hereunder, shall be governed by the laws of the State of Alaska.

7. This Agreement may be executed in several counterparts, each of which shall be deemed an original.

8. This Agreement shall become effective upon execution.

9. Any action under this Agreement shall be brought in Superior Court of the Third Judicial District in Anchorage, Alaska or the United States District

Court for the District of Alaska. Venue for resolution of any dispute under the terms of this Agreement shall be in Anchorage, Alaska. In any action arising out of the enforcement or interpretation of this Agreement, the prevailing party shall be entitled to recover its costs and attorneys' fees.

10. Consultant agrees to disclose, in writing, to the System, within seven (7) business days, if Consultant becomes the subject of an investigation by the Securities and Exchange Commission for alleged breach of federal securities laws; an investigation by the U. S. Department of Justice or any comparable state law enforcement agency for allegations relating to violation of federal or state securities laws or related allegations of fraud; or if Consultant is named as the defendant in any civil action alleging fraud, negligence or breach of fiduciary responsibility in connection with its consulting duties.

11. The relationship between the parties shall be that of principal and contractor and not employer and employee.

H. STANDARD OF CARE; LIABILITY

Consultant shall conduct its fiduciary responsibilities under this Agreement and shall make the System whole for any actual losses caused by (i) the material inaccuracy of any of Consultant's representations or warranties when made, (ii) any negligence, willful misconduct, fraud, violation of law, or breach of fiduciary duty on the part of Consultant or its officers, directors, employees, affiliates, agents, servants, contractors or subcontractors, or (iii) a breach by Consultant of this Agreement.

I. TERM AND TERMINATION

The parties agree that services under this contract shall commence on January 1, 2026, and shall continue until December 31, 2028. System shall have the right to terminate this Agreement, with or without cause, upon thirty (30) days of written notice to Consultant. Consultant may terminate this Agreement upon ninety (90) days of written notice and charges, if any, for services completed will be prorated based on the total fees as set forth in Appendix A.

IN WITNESS WHEREOF, the parties have affixed their signatures on the day and in the year first above written.

_____

The Board of Trustees of the Anchorage Police & Fire Retirement System

By:_____ By:_____

Print Name:_____ Print Name:_____

Title:_____ Title:_____

Appendix A
Fees

Fee Schedule Template

Service level requirements:

- **Scope of Services described in Section 2 of RFP**
- **Minimum of four in-person visits required quarterly additional meetings available via teleconference.**
- **Up to two manager searches in the first year of contract and up to five manager searches over a trailing three-year period.**

Annual Fee, all inclusive of cost, flat dollar, no percentage:

REQUIRED: _____

*****Supplemental Information*** (note: information requested below will not be factored into the Fee Schedule scoring criteria)**

Declaration, if applicable, of current percentage or escalator envisioned for Year 2 and beyond of contract, if awarded:

Explicit charges above the base fee:

All-inclusive travel cost billable to Anchorage per trip should more than 4 trips are required:

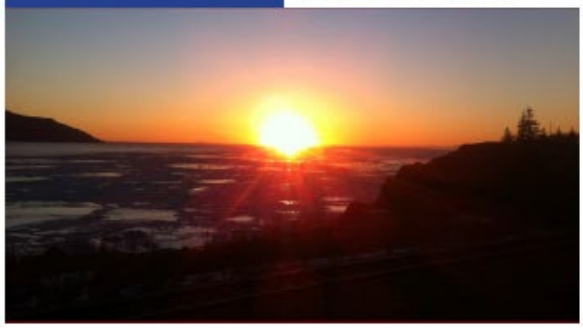
EXHIBIT 3

Statement of Investment Policy











Anchorage
POLICE AND FIRE
Retirement System



Statement of Investment Policy

ANCHORAGE POLICE AND FIRE RETIREMENT SYSTEM

STATEMENT OF INVESTMENT POLICY

FOREWORD

The Anchorage Police and Fire Retirement System (APFRS) was created by the Anchorage Municipal Assembly by ordinance in 1977 (AO No.77-205; AO No. 84-69; AO No. 2000-65, § 3, 4-18-00). Police and Fire employees hired July 1, 1968 or later retroactively became members in the retirement plan.

The system is comprised of three retirement plans, all of which were created for the purpose of encouraging qualified personnel to enter and remain in the service of the Municipality of Anchorage as police officers and firefighters through the establishment of a system of retirement, disability and death benefits for members, and their beneficiaries. The retirement plans are closed with Plan I closing to new members effective June 30, 1977, Plan II closing to new members effective April 17, 1984, and Plan III closing to new members effective May 24, 1994 for new command police and fire, July 17, 1994 for union firefighters and all new union police officers October 5, 1994.

A nine member Board of Trustees governs APFRS. The Board has sole and exclusive fiduciary responsibility over the assets of the retirement system. The Board has the sole and exclusive responsibility to administer APFRS in a manner that will assure prompt delivery of benefits and related services to the members and their beneficiaries.

The APFRS Director has the responsibility for the overall management and administration of the system in accordance with the direction, policy and goals set by the Board and Anchorage Municipal Code. Reporting to the Director is a staff with the primary responsibility to assist the Director to carry out these policies and goals.

An annual actuarial valuation commissioned by the Board determines contributions into the APFRS Plans. The growth of the Fund results from a combination of employer and employee contributions plus investment gains, less the combination of administrative costs, investment expenses, and benefit payments. The Retirement System is also subject to an annual outside audit commissioned by the Board. The results of the actuarial valuation and audit are provided to the Board, Municipal Executives, and Assembly.

THE PURPOSE OF THE INVESTMENT POLICY AND OBJECTIVES:

1. Articulate the Board's views on APFRS' investment objectives and risk tolerance for the investment portfolio.
2. Establish performance standards to measure the progress towards achieving the objectives.
3. Formulate the Board's policies and guidelines on: a) asset allocation and diversification of investments; b) allowable investments; c) rebalancing; d) implementing policy-based initiatives; e) monitoring and evaluating the performance and risk of the investment portfolio; and f) investment manager selection and termination.

I. INVESTMENT GOAL:

1. Provide for present and future benefit payments including increased benefits should reserves exceed 116%. The overall purpose is to invest pension assets, solely in the interest of providing benefits to the members and their beneficiaries, attempting to minimize the employer and employee contributions and defraying administrative costs. The investment of the fund assets made in accordance with the investment policy described herein are expected to accomplish the goal of maintaining adequate funding of AFPRS' liabilities over time.

   The goal of the Board is to design an investment portfolio that will achieve an actuarial rate of return assumption of 6.90%.

2. Make Prudent Investments – With care, skill, prudence and diligence the Board will strive to produce an investment return based on levels of liquidity and investment risk that are prudent and reasonable under present circumstances. Such circumstances may change over time.

3. Diversify the Assets – The Board will diversify the investments of the Fund to maximize the investment return within acceptable investment risk.

4. Establish policy and review process – Annually, APFRS will conduct a formal review of its Investment Policy and will consider long term financial projections prepared by the Investment Consultant.

II. INVESTMENT PHILOSOPHY:

In general, research has shown that the level of investment return is related to the corresponding level of investment risk. To achieve the actuarial target earning goal, the Board has adopted a long-term strategic asset allocation plan. APFRS will utilize some level of active investment management strategy to provide additional return required to achieve the target earnings rate. The Board strives

to seek a balance between the certainties of obtaining a set return over time with the risks inherent in higher investment returns. The Board may employ lower cost and lower risk strategies to achieve its stated earnings goals

III. INVESTMENT OBJECTIVES:

It is in the best interest of the Retirement System that investment objectives be established by the Board for the total fund and for each investment manager. It is clearly understood that these objectives are to be viewed over the long-term and have been established after full consideration of all factors set out in this Statement of Investment Policy ("SIP"). The investment objectives are as follows:

A. Total Fund Investment Objectives

1. To achieve a minimum return of 5.0% in excess of the U.S. City Average, All Urban Consumers (CPI-U) as reported by the Bureau of Labor Statistics. However, the return shall be no less than the stated return the actuary utilizes in determining future normal benefit costs.

2. Exceed the return of a custom index, based on the target asset mix specified in Section V.D.

3. The Board shall strive to achieve a level of 116% funding (the Contingency Reserve) of the retirement system's pension benefit liability in each Plan over time. Also, in each Plan, the Board will annually set aside 25% of any identified surpluses as an additional contingency reserve as required by Municipal Code. The Board has the authority with a simple majority vote to distribute the surplus in accordance with AMC 3.85.

4. Surpluses above the additional contingency reserve may be available for enhanced benefits only upon concurrence and recommendation of the Board's actuary and approval by a Super-Majority of the Retirement Board and by ordinance approved by the Anchorage Assembly.

B. The Investment Managers Agreement may also contain additional investment performance objectives and goals for performance monitoring.

IV. BOARD AND CONTRACTOR RESPONSIBILITIES:

The Board, under the Anchorage Municipal Code Chapter 3.85, is responsible for the establishment of investment policies that guide investment of the Anchorage Police and Fire Retirement System assets. As such:

A. The Board Shall determine the appropriate investment policies by considering the implications of a wide range of financial assumptions and

investment risk;

B. The Board is the sole authority for hiring, retaining, and releasing managers, investment consultant and the master custodian;

C. The managers shall be responsible to the Board for carrying out the Board's investment goals, objectives and policies;

D. The managers are accorded full discretion, within investment policy limits, to select individual securities and diversify assets under their control. Manager discretion may also be limited by the terms of the investment management agreement between the System and the manager;

E. The master custodian shall be responsible for safekeeping assets under the master custodian's supervision and shall be responsible for administering any Securities Lending Agreement between the Board and the bank;

F. The Director shall be responsible for implementing the Board's investment policies, monitoring the managers and master custodian, and deploying assets within the established asset allocation parameters.

G. The Investment Consultant shall review and evaluate the performance of investment managers for APFRS and provide written quarterly reports and advice to the Board. The Investment Consultant shall attend regular periodic meetings and make oral presentations regarding the investment managers' performance during each period. The Investment Consultant shall conduct an annual review of APFRS investment objectives, guidelines and procedures and, if necessary, make recommendations for amendments thereto. When necessary, assist the Board with interim changes to the System's Asset Allocation Policy when managers are either added or deleted.

V. INVESTMENT POLICIES:

A. Actuarially Required Return

The assets of the Anchorage Police and Fire Retirement System shall be invested to provide an actuarially required return on investment within acceptable risk parameters, as specified in V.C.4 below, (Acceptable Investment Risk).

B. Prudent Person Rule

The Board of Trustees is by law collectively and individually, considered to be fiduciaries of the System and shall discharge its responsibilities solely in the interest of the members and beneficiaries of the System for the exclusive purpose of providing benefits to the members and their beneficiaries and to defray the reasonable expenses of the System. The Trustees shall exercise those fiduciary responsibilities with the care, skill, prudence and diligence under the circumstances then prevailing that a prudent person acting in a like capacity and familiar with such matters would use in the conduct of an enterprise of a similar character and with similar aims.

C. Asset Allocation Factors

The Board shall carefully consider the following factors in establishing a long-term asset allocation program:

1. Retirement System Characteristics:
   a. The system is a public system with tax-exempt status, and investments shall be made in a fiduciary responsible manner for the benefit of the membership.

   b. It is understood by the Board that member and municipal contributions may be required from time to time. However, the primary source of revenue for benefit payments is from investment earnings on the Retirement System's assets.

   c. Plan member demographics and nature of the Plans' liabilities will be considered when developing an investment strategy. Additionally with APFRS being a closed system, the Board will take into consideration time horizons and invest in more conservative investments over time.

2. Liquidity Requirements:
   The System's assets shall be structured to meet the liquidity requirements to pay benefits in a timely manner. Accordingly, the managers should be prepared to provide assets to meet liquidity requirements as the need arises. In addition, investment manager fees benefit payments and expenses will, at the discretion of the Director, be deducted directly from all portfolios. It is important that each manager maintain sufficient liquidity to cover these periodic withdrawals.

3. Quarterly Allocation Rebalancing:
   The Director, in conjunction with the Fund's Investment Consultant, will review the asset allocation quarterly and compare it to the recommended target allocation. When one particular manager's portfolio is over-weighted versus their target allocation, the Director, after coordinating with the Investment Consultant, may reallocate the

"overage" required by the allocation model and report that activity to the Board at the next ensuing meeting. An ongoing exception is made for alternative asset classes, which may differ from the target ranges outlined for periods of time, due to the illiquid nature of the asset classes. In the event the existing allocation is within the maximum/minimum guidelines (see V. D. below) no action may be taken.

The Board will review the overall fund allocation of assets at their annual review meeting. Significantly over-weighted asset classes may be cut back at that time, particularly those which fall outside the guideline allocations. Otherwise, the Board will rely on the advice of the Investment Consultant for changes to weightings or to the Asset Allocation model.

4. Acceptable Investment Risk:
   The aggregate risk level appropriate for the retirement system is specified in this investment policy statement, which reflects the Fund's characteristics, and liquidity requirements, keeping in mind the fiduciary purpose for which the assets are accumulated. The acceptable risk level is specified in Section V. D.

5. Asset Allocation Studies:
   Periodic asset allocation studies may be considered annually by the Board which will:
   a. Develop a long range rationale to guide the deployment of contributions and assets;
   b. Identify appropriate expected risk/return parameters for the investment of System assets; and
   c. Reassess the current investment policy as it pertains to the relationship between the System's assets and liabilities.

6. Capital Market Assumptions:
   Capital market assumptions are reviewed annually by the Board and the Investment Consultant.

D. Asset Allocation Program

After careful consideration of the above referenced asset allocation factors, the Board has established a long-term asset allocation program that leads to an appropriate asset mix, realistic investment objectives and relevant investment constraints, as summarized on the next page:

ASSET ALLOCATION

	Style	Index	Minimum	Target	Maximum
Domestic Large Cap	Core	S&P 500	4.875%	7.875%	10.875%
Domestic Large Cap	Growth	Russell 1000 Growth	4.875%	7.875%	10.875%
Domestic Large Cap	Value	Russell 1000	5.75%	8.75%	11.75%
Sub-Total: Large CAP			**15.5%**	**24.5%**	**33.5%**
Domestic Small Cap	Growth	Russell 2000	3.25%	5.25%	7.25%
Domestic Mid Cap	Value	Russell MidCap Index	3.25%	5.25%	7.25%
Sub-Total: Sm/Mid Cap			**6.5%**	**10.5%**	**14.5%**
Total Domestic Equities			**22%**	**35%**	**48%**

	Style	Index	Minimum	Target	Maximum
International Equity	Non-U.S.	MSCI ACWI ex	8.5%	11.5%	14.5%
International (Growth)	Non-U.S.	MSCI ACWI ex	8.5%	11.5%	14.5%
Total International			**17%**	**23%**	**29%**
TOTAL Equities			**39%**	**58%**	**77%**

	Style	Index	Minimum	Target	Maximum
Domestic Fixed Income	Core Plus Bond Fixed-Income	Bloomberg US Aggregate	15%	20%	28%
Domestic Fixed Income	Core Bond Fixed Income	Bloomberg US Aggregate	4%	8%	12%
Total Fixed Income			**19%**	**28%**	**40%**

	Style	Index	Minimum	Target	Maximum
Domestic Real Estate	(Open-End)	NCREIF ODCE	1.5%	5.0%	8.5%
Domestic Real Estate	Farmland	NCREIF Farmland	2%	4.5%	8%
UBS-TPI	Property & Income	Custom Hybrid Debt Index	0.5%	3.5%	6.5%
Total Real Assets			**4%**	**13%**	**23%**
Total Cash &			**0%**	**1%**	**4%**

TOTAL FUND **100%**

E. Minimum Manager Requirements:

In order to be considered as a manager for the system a firm must meet the following minimum standards:

1. The firm must have at least $500 million under management;
2. The firm's portfolio must have a 5-year investment performance history.

F. Manager Guidelines:

1. Managers shall have full discretionary authority in the selection and retention of investments, subject to the provision of law, trust agreements, this Statement of Investment Policy as amended from time to time and investment management agreement between the System and the manager.

2. The responsibility for security selection shall lie with the managers. The managers, however, shall operate within these investment guidelines which shall conform to applicable governmental regulations, and shall cover four specific areas: (a) diversification; (b) credit quality; (c) restricted transactions; and (d) exceptions.

    a. Diversification:
        (1) No individual security of the portfolio shall constitute more than the greater of 5% or the security's weight in the agreed upon market index plus 2%. Other exceptions to this provision may be requested as provided below in section (d).

        (2) No security shall be bought unless it is traded on one of the major security exchanges or the Over-The-Counter (OTC) market. Listed American Depository Receipts (ADR's) shall be an approved investment, and shall constitute no more than 20% of the market value of the assets controlled by a manager.

        (3) Exchange listed derivatives may be included in a manager's portfolio. The manager is required to provide the Board with a list and explanation of the types of derivatives they expect to invest in, the purposes for holding these securities in their portfolio, the likely portfolio percentage allocation to derivatives and a description of the risks associated with these investments. Collateralized mortgage securities or mortgage-backed securities are authorized by the Board,

but individual issues must have a Flow Uncertainty Index ("FLUX") score of 15 or less.

b. Credit quality:

(1) Commercial paper must be rated P-1 and/or A-1 by Moody's and Standard & Poor's respectively.
(2) The total bond portfolio will maintain a minimum average credit rating of "BBB+" as rated by both Moody's and Standard & Poor's. For Purposes of compliance with this Policy, the manager will adhere to the same ratings scale and policy as that employed by Bloomberg in the structure of the Bloomberg US Aggregate Index (utilizing ratings by Moody's, S & P and Fitch).

c. Portfolio Duration:

Total portfolio weighted average duration should not exceed 120% of the bond market's duration utilizing the Bloomberg US Aggregate Index.

d. Restricted transactions:

(1) Conflict of interest and transactions between a fiduciary and parties in interest, as described in Sections 406 and 408 of Title I, Employee Retirement Income Security Act (ERISA), are prohibited which provisions are adopted for use in this System.
(2) No transactions shall be made which might threaten the tax exempt status of the system.
(3) No letter stocks shall be purchased.
(4) No funds shall be borrowed.
(5) No short sales shall be made.
(6) No tax-exempt bond shall be purchased or retained unless, on a comparable quality and duration basis, it provides an expected return superior to that of a taxable bond.
(7) No private placements shall be purchased. However, Rule 144A securities with registration rights are permitted investments.
(8) No non-exchange-listed derivatives shall be purchased or sold by any of the System's managers.

e. Exceptions to Manager Guidelines:

(9) The Board acknowledges that when it is in the best interests of the System to invest in a collective vehicle (i.e. comingled fund or mutual fund); it is not possible to dictate specific investment prohibitions. Therefore, it shall be the duty of the manager of such commingled fund to report to the Board on a periodic basis, the extent to which the investment strategies differ from the Board's SIP. Periodically, the Board will review the differences and determine if the commingled fund remains in the best interest of the System.

(10) The managers may request exceptions to the restrictions outlined in V.F.2. by written request to the Board.

(11) All exceptions will be submitted in writing to the Board who will, after reviewing and receiving advice from the Fund's Investment Consultant, render a decision with regard to the request at the next board meeting.

3. Brokerage Transactions

The managers shall purchase or sell securities through those firms offering the best price and execution. The Board reserves the right to institute a Brokerage Recapture Program or to use the services of a "Transition Management" brokerage firm if the Board believes this is in the best interest. The decision to use a third party will be based on advice and recommendations from the Board's Investment Consultant.

G. MANAGER PERFORMANCE STANDARDS

Over the long-term (as defined in the following paragraph) each manager retained to actively manage a portfolio will be expected to outperform on a net of fee basis an appropriately defined and mutually agreed upon market index and to perform (gross of fees) in the top two-fifths (2/5) of managers with similar investment styles as measured by one of the prevailing investment performance measurement services.

The time period for measuring manager performance is a market cycle or three to five years, whichever period is shorter. However, if a manager experiences significant organizational changes and/or its performance falls significantly below market averages, the performance of a group of managers of similar style, and its individual performance objectives prior to completion of a market cycle, then the manager's performance will be evaluated over a shorter time horizon. Over the life of the portfolio, each manager is expected to maintain a portfolio with consistent fundamental portfolio characteristics.

H. MONITORING AND EVALUATING MANAGER PERFORMANCE

The monitoring and evaluating the total fund and individual managers' performance will be performed by an Investment Consultant. The objective and purpose of this monitoring is to maintain adequate control over the System's assets and the managers without stifling their initiative. The Board shall conduct a formal evaluation of each manager's performance quarterly. These evaluations will focus on adherence to investment policies and the opportunities available in the investment markets. Particular attention will be directed to evaluating performance relative to risk; this will be achieved by comparing individual managers and total Fund performance on a risk-adjusted basis. It is believed that the performance expectations set forth in this SIP are reasonable and consistent in the long run.

Actions to be taken as a result of performance reviews will be in accordance with the Retirement Board's Investment Monitoring and Transition Process Procedure in Exhibit A. Notwithstanding the performance measures in Exhibit A, the Board retains the authority to terminate any manager whenever it is deemed, in the Board's exercise of its fiduciary duty, to be in the best interest of the System and its participants.

I. ADOPTION

This Statement of Investment Policy is adopted effective April 18, 2000, the date the revised Anchorage Municipal Code, Chapter 3.85 (Re-established), was approved by the Municipal Assembly. (See the "Document History" on the attached Page.)

J. APPROVAL

This latest revision to the Statement of Investment Policy is approved by a super-majority vote of the Retirement Board at the meeting held on August 16, 2023.

_____ _____

Date Chairperson

EXHIBIT 4

APFRS DB Plan Holdings

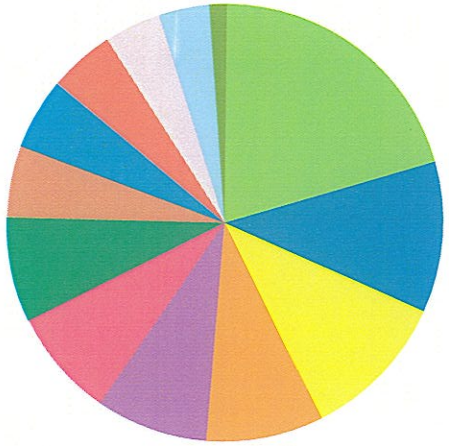
APFRS Surplus Account Holdings

Anchorage Police & Fire Retirement System
Total Fund
Asset Alloc. by Manager, Asset Alloc. vs. Target, and Schedule of Investable Assets

As of December 31, 2024

Asset Allocation by Manager

December 31, 2024 : $333,651,746

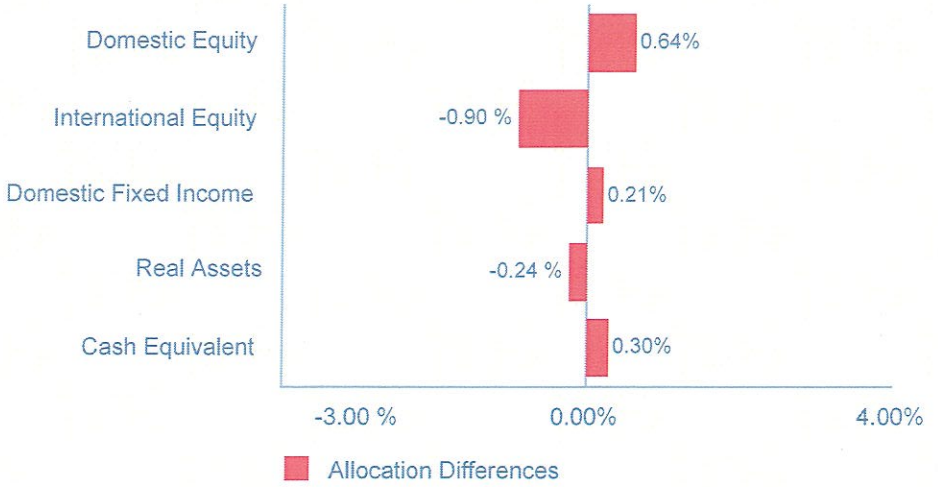


	Market Value ($)	Allocation (%)
Barrow Hanley Enhanced Int Credit (SA)	68,168,113	20.43
Lazard Intl Equity ACW Ex US (CF)	37,179,026	11.14
Capital Group All Countries Equity (CF)	36,545,985	10.95
SKBA Large Cap Value Equity (SA)	28,823,276	8.64
BNYM DB Lg Cap Grth Stock Index NL (CF)	27,877,566	8.36
BNYM DB Stock Index NL (CF)	26,937,803	8.07
Merganser Core Aggregate (SA)	25,956,457	7.78
Dana Investment Advisors Mid Cap Value (SA)	17,688,713	5.30
Macquarie Small Cap Core (SA)	17,578,901	5.27
UBS AgriVest Farmland (CF)	16,081,618	4.82
UBS Trumbull Property (CF)	14,039,257	4.21
UBS Trumbull Property Income (CF)	12,438,984	3.73
BlkRk Lq:FedFund;Instl (TFDXX)	4,336,048	1.30

Asset Allocation vs. Target Allocation

	Market Value ($)	Allocation (%)	Target (%)	Min (%)	Max (%)
Total Fund	**333,651,746**	**100.00**	**100.00**	-	-
Domestic Equity	118,906,258	35.64	35.00	22.00	48.00
International Equity	73,725,011	22.10	23.00	17.00	29.00
Domestic Fixed Income	94,124,570	28.21	28.00	19.00	40.00
Real Assets	42,559,859	12.76	13.00	4.00	23.00
Cash Equivalent	4,336,048	1.30	1.00	0.00	4.00

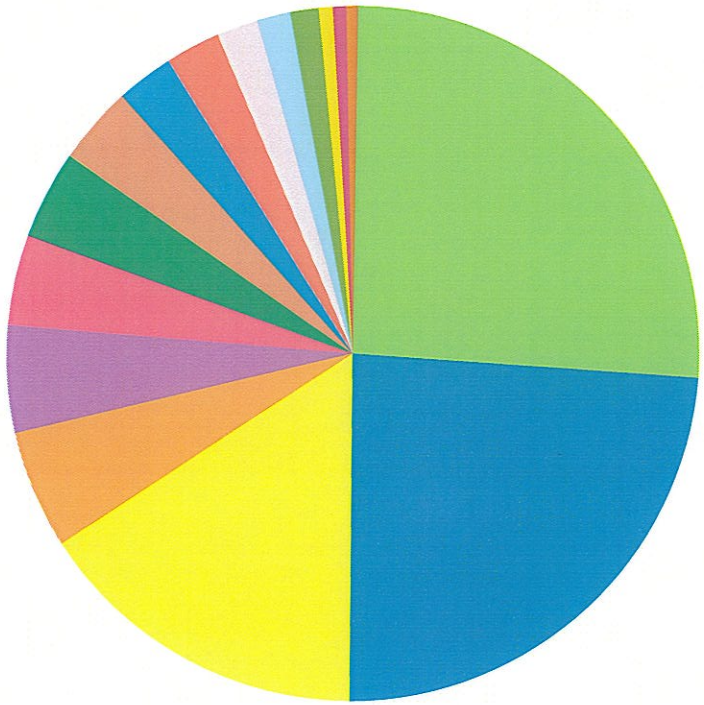
Asset Allocation vs. Target Allocation Differences



Anchorage Police & Fire Retirement System
Surplus Plan
Asset Allocation By Manager

As of December 31, 2024

December 31, 2024 : $12,596,862



	Market Value ($)	Allocation (%)
Vanguard Retirement Savings Trust (CF)	3,277,647	26.02
Vanguard 500 Idx;Inv (VFINX)	3,008,444	23.88
Vanguard US Growth;Inv (VWUSX)	1,986,817	15.77
Vanguard Explorer;Inv (VEXPX)	697,859	5.54
Vanguard Wellington;I (VWELX)	631,355	5.01
Vanguard Tot Bd;Inv (VBMFX)	529,295	4.20
Vanguard Windsor II;Inv (VWNFX)	520,427	4.13
Vanguard Sel Value;Inv (VASVX)	456,278	3.62
Vanguard LS Growth;Inv (VASGX)	334,665	2.66
Vanguard Tot I S;Inv (VGTSX)	320,467	2.54
Vanguard Intl Gro;Inv (VWIGX)	244,483	1.94
Vanguard LS Mod Gro;Inv (VSMGX)	194,635	1.55
Vanguard RE Idx;Inv (VGSIX)	167,433	1.33
Vanguard LS Cons Gro;Inv (VSCGX)	80,353	0.64
Vanguard LS Income;Inv (VASIX)	78,381	0.62
Vanguard Intl Val;Inv (VTRIX)	68,323	0.54
Vanguard CRsFdl MM;Adm (VMRXX)	1	0.00

Allocations shown may not sum up to 100% exactly due to rounding.